

1 ENGROSSED SENATE
2 BILL NO. 844

By: Gillespie of the Senate

3 and

4 Hasenbeck of the House

5
6 An Act relating to charitable organizations; creating
7 the Safeguarding Endowment Gifts Act; providing short
8 title; providing certain restriction; defining terms;
9 prohibiting a charitable organization from using
10 funds in a manner inconsistent with a donor-imposed
11 restriction; allowing donor to file certain
12 complaint; requiring certain notice from charitable
13 organization; specifying remedies for violations;
14 prohibiting this act from violating certain authority
15 or provisions; providing for codification; and
16 providing an effective date.

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19 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

20 SECTION 1. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section 302 of Title 60, unless there is
22 created a duplication in numbering, reads as follows:

23 A. This act shall be known and may be cited as the
24 "Safeguarding Endowment Gifts Act".

B. The provisions of the Safeguarding Endowment Gifts Act shall
apply only to restricted endowment funds as provided for in this
act.

1 SECTION 2. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 302.1 of Title 60, unless there
3 is created a duplication in numbering, reads as follows:

4 As used in this act:

5 1. "Charitable organization" means any organization soliciting
6 contributions in this state that is described in Section 501(c) of
7 Title 26 of the United States Code, that solicits contributions as
8 described in this act and that is organized and operated primarily:

- 9 a. for religious, charitable, scientific, literary,
10 educational, artistic, cultural, economic development,
11 civic improvement, public safety testing, research,
12 humanitarian, animal welfare, recreational, or
13 environmental protection purposes,
- 14 b. to foster national or international amateur sports
15 competition, but only if no part of its activities
16 involves the provision of athletic facilities or
17 equipment,
- 18 c. to prevent cruelty to children, the elderly,
19 identified populations, or animals,
- 20 d. to relieve poverty, hunger, or homelessness,
- 21 e. to support law enforcement or citizen protection
22 organizations or agencies, or
- 23 f. to provide emergency relief.

1 This term shall also include an individual representing himself
2 or herself as a charitable organization or purporting to act on
3 behalf of a charitable organization;

4 2. "Donor" means an individual who has executed an endowment
5 agreement and made a contribution of property or money subject to
6 the endowment agreement. As used in this act, such term shall also
7 include the administrator or executor of a person's estate, a
8 surviving spouse if a court judgment has settled the accounts of the
9 estate, or a living individual designated in an endowment agreement
10 to act in place of a party to the agreement for the purposes
11 provided for in this act;

12 3. "Donor-imposed restriction" means a written statement within
13 an endowment agreement that specifies obligations on the management
14 or purpose of the endowment fund;

15 4. "Endowment agreement" means a written agreement between a
16 charitable organization and a donor regarding the contribution made
17 by the donor and accepted by the charitable organization, which may
18 include donor-imposed restrictions or other conditions governing the
19 use of the contribution;

20 5. "Endowment fund" means an institutional fund, as defined in
21 Section 300.12 of Title 60 of the Oklahoma Statutes, that, under the
22 terms of a gift instrument, is not wholly expendable by the
23 institution on a current basis. The term does not mean assets that
24 an institution designates as an endowment fund for its own use;

1 6. "Gift instrument" means a record or records, including an
2 institutional solicitation, under which property is granted to,
3 transferred to, or held by an institution as an institutional fund;
4 and

5 7. "Property" means real property, personal property or money,
6 digital assets, stocks, bonds, or any other asset or financial
7 instrument.

8 SECTION 3. NEW LAW A new section of law to be codified
9 in the Oklahoma Statutes as Section 302.2 of Title 60, unless there
10 is created a duplication in numbering, reads as follows:

11 A. Except as authorized by federal or state law or valid court
12 order, no charitable organization that accepts a contribution
13 pursuant to a written donor-imposed restriction may violate the
14 terms of such restriction.

15 B. 1. If a charitable organization violates a donor-imposed
16 restriction contained in an endowment agreement, the donor may file
17 a complaint within two (2) years after discovery of the violation of
18 such restriction, provided that the donor shall first notify the
19 charitable organization and the Office of the Attorney General at
20 least ninety (90) days prior to filing the complaint of the donor's
21 intent to file a complaint for the breach of the agreement.

22 2. The complaint shall be filed in a court of general
23 jurisdiction in the county where a charitable organization named as
24 a party has its principal place of business for carrying out its

1 charitable activities. The complaint may be filed despite the
2 endowment agreement lacking an express reservation of a right to
3 enforce. The complaint shall not seek a judgment awarding damages
4 to the donor.

5 3. Notification of any complaint filed under this section shall
6 be provided immediately by the donor to the Office of the Attorney
7 General.

8 C. In the event a charitable organization is unable to fulfill
9 a term of an endowment agreement, the organization shall make every
10 effort to notify the donor within six (6) months of such inability
11 being identified by the organization and offer an alternative
12 solution that closely matches the initial term in the endowment
13 agreement.

14 D. A charitable organization may obtain a judicial declaration
15 of rights and duties expressed in an endowment agreement containing
16 donor-imposed restrictions as to all of the actions the agreement
17 contemplates, including, without limitation, the interpretation,
18 performance, and enforcement of the agreement and determination of
19 its validity. The charitable organization may only seek such
20 declaration in any suit pursuant to this section or by filing a
21 separate action.

22 E. If the court determines that a charitable organization
23 violated a donor-imposed restriction in an endowment agreement, the
24 court may order one or more remedies consistent with the charitable

1 purposes expressed in the endowment agreement. The court shall not
2 order the return of donated funds to the donor.

3 F. Nothing in this act shall affect the authority of the Office
4 of the Attorney General to enforce any restriction in an endowment
5 agreement, limit the application of the judicial power of cy pres,
6 or alter the right of an institution to modify a restriction on the
7 management, investment purpose, or use of an endowment fund in a
8 manner permitted by the endowment agreement, the Uniform Prudent
9 Management of Institutional Funds Act, the Oklahoma Charitable
10 Fiduciary Act, the Oklahoma Uniform Trust Code, or other state law.

11 SECTION 4. This act shall become effective November 1, 2026.

12 Passed the Senate the 26th day of March, 2026.

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Presiding Officer of the Senate

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16 Passed the House of Representatives the ____ day of _____,
17 2026.

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Presiding Officer of the House
of Representatives

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